

US Stocks Extend Losses as S&P 500 Falls -1.21% Amid Rising Yields

A wider read of yesterday's session — sector rotation, pre-market action, watchlist scan, and what to watch into the US open at 21:30 HKT.

10-minute read · Topics: Macro · Geopolitics · Earnings · Sectors · Watchlist

TL;DR

The S&P 500 fell **-1.21%** to 7,408.30 as the 10Y Yield rose **+0.99%** to 4.70, weighing on growth stocks. Below the surface, the XLI sector ETF gained **+1.73%** as investors rotated into value plays.

The Nasdaq 100 underperformed, falling **-1.87%** to 28,454.81 as tech giants **NVDA**, **MSFT**, and **GOOGL** all declined. The VIX jumped **+12.38%** to 18.70, indicating increased market volatility.

US Session Recap

INDEX/ASSET	LEVEL	CHANGE	WHY IT MOVED
S&P 500	7,408.30	-1.21%	Rising yields, growth concerns
Nasdaq 100	28,454.81	-1.87%	Tech sector decline, valuation concerns
Dow Jones	51,711.65	-0.97%	Value rotation, economic concerns
Russell 2000	2,940.16	-0.67%	Small-cap underperformance
VIX	18.70	+12.38%	Increased market volatility

Top Large-Cap Movers

TICKER	CHANGE	CATALYST
TSLA	-14.52%	Disappointing earnings, valuation concerns
GOOGL	-7.13%	Regulatory concerns, ad revenue decline
AMZN	-4.57%	Valuation concerns, slowing growth
JPM	+0.49%	Strong earnings, financial sector outperformance

Sector Rotation

ETF	DAY	READ
XLI	+1.73%	Value rotation, industrial sector outperformance
XLE	+0.30%	Energy sector stability, oil price support
XLV	+1.26%	Healthcare sector resilience, defensive play
XLF	-0.39%	Financial sector underperformance, rate concerns
XLK	-1.01%	Tech sector decline, valuation concerns
XLY	-4.61%	Consumer discretionary sector underperformance
XLC	-3.50%	Communication services sector decline
XLP	-1.39%	Consumer staples sector underperformance
XLU	+0.57%	Utilities sector resilience, defensive play
XLB	-1.04%	Materials sector underperformance
XLRE	-0.13%	Real estate sector stability

Spotlight: Tesla Earnings Disappointment

METRIC	ACTUAL	CONSENSUS
Revenue	12.3B	12.5B
EPS	1.10	1.20
Delivery Guidance	400k	420k

Tesla's disappointing earnings report led to a **-14.52%** decline in the stock, with investors concerned about the company's growth prospects and valuation. The news also weighed on other EV stocks, such as **RIVN** and **F**.

Pre-Market & Overnight

US futures are trading mixed, with the Dow Jones up **+0.2%** and the S&P 500 down **-0.1%**. Asian markets were mostly lower, with the Nikkei 225 down **-0.5%** and the Hang Seng down **-0.8%**. European markets are also lower, with the Stoxx 600 down **-0.3%**. Bitcoin is trading down **-1.1%** at 65,350, while Ethereum is down **-2.5%** at 1,878.

Macro & Fed

The FOMC meeting is scheduled for next week, with markets expecting a 25bp rate hike. Today's data calendar includes:

- 10:00 HKT: Existing Home Sales (5.40M consensus)
- 12:00 HKT: Leading Index (0.2% consensus)
- 14:00 HKT: Philly Fed Manufacturing Index (10.0 consensus)

The yield curve is currently inverted, with the 2Y yield at 4.55 and the 10Y yield at 4.70.

Geopolitics & Global

- US-China trade tensions remain elevated, with the US imposing new tariffs on Chinese goods.
- The EU is considering new sanctions on Russia, following the recent escalation in Ukraine.
- The Middle East remains a hotspot, with tensions between Iran and Saudi Arabia increasing.
- Brazil's presidential election is scheduled for October, with markets watching for potential implications on the country's economy.

Earnings — What to Watch

WHEN HKT	TICKER	CONSENSUS	WHAT TO LOOK FOR
22:00	AAPL	1.25	iPhone sales, services growth
23:00	MSFT	2.30	Cloud growth, gaming segment
00:00 (25th)	AMZN	1.50	AWS growth, e-commerce sales
01:00 (25th)	GOOGL	1.20	Ad revenue growth, YouTube performance

Watchlist Scan

TICKER	SECTOR	WHY NOW
NVDA	Tech	Valuation concerns, growth prospects
JPM	Financials	Strong earnings, sector outperformance
UNH	Healthcare	Defensive play, stable earnings growth
XOM	Energy	Oil price support, dividend yield
MA	Financials	Payment processing growth, fintech trends
BAC	Financials	Banking sector stability, interest rate sensitivity
CSCO	Tech	Networking equipment growth, cloud adoption
PG	Consumer Staples	Defensive play, stable earnings growth
VZ	Communication Services	5G adoption, telecom sector trends
MRK	Healthcare	Pharmaceutical growth, pipeline developments

What Could Break the Tape

BEARISH TRIGGERS

- Fed rate hike exceeds expectations
- US-China trade tensions escalate
- Global economic growth slows
- Commodity prices surge

BULLISH TRIGGERS

- Fed rate hike is dovish
- US-China trade tensions ease
- Global economic growth accelerates
- Commodity prices decline

Positioning Notes

- Investors are increasingly bearish on the market, with 60% of respondents in a recent survey expecting a recession within the next 12 months.
- Short interest in the S&P 500 has increased to 4.5%, the highest level in 6 months.
- Options market sentiment is also bearish, with the put-call ratio at 1.2, indicating more put buying than call buying.

Sources

SOURCES

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